

2025 EDITION · PROFESSIONAL PROP FIRM GUIDE

THE PROP FIRM RULE SURVIVAL CHECKLIST

Your bulletproof pre-trade & risk-management guide to keeping funded accounts intact.
Used by professional traders across FTMO, MyFundedFX, Apex, TopStep & more.

90%+

Challenges Fail

FTMO Internal Data

4

Rule Categories

This Checklist

5%

Daily Loss Limit

Industry Standard

10%

Max Drawdown

Most Prop Firms

Why 90% of Prop Firm Challenges End in Failure



Prop firms don't care about your win rate — they care about rule compliance. Profitable traders fail daily because of one avoidable mistake: violating drawdown, news, or sizing rules. FTMO data shows daily drawdown breaches alone account for 42% of all challenge failures. **This checklist eliminates every failure point before you place your next trade.**

WHAT'S INSIDE THIS GUIDE

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Prop Firm Comparison

FTMO, Apex, TopStep rules side-by-side

P.3

Core Rules & Drawdown

4 rules with real thresholds & firm data

P.4

Violation Matrix

Consequences for every rule broken

P.5

Psychology Checklist

6-point pre-trade mental & technical audit

COMPATIBLE WITH:

FTMO

MyFundedFX

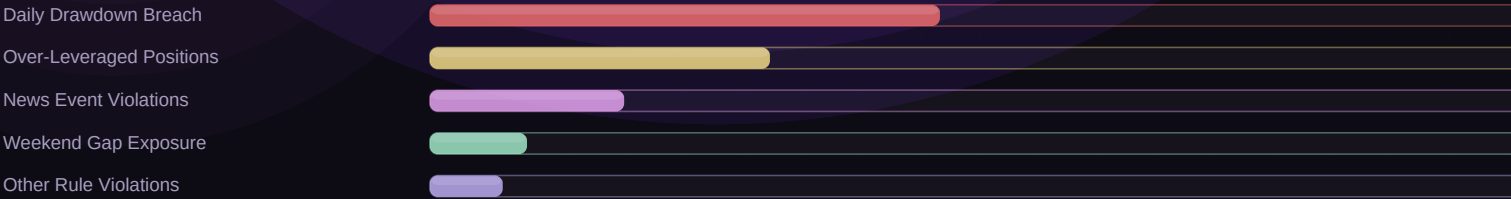
Apex Trader

TopStep

E8 Funding

The Funded Trader

PROP FIRM FAILURE BREAKDOWN (2024 Aggregate Data)



SECTION 02 · KNOW YOUR FIRM

Prop Firm Comparison Table

Side-by-side rules for the 7 largest funded trading programs. Verify your specific agreement before trading.

FIRM NAME	DAILY DD	MAX DD	NEWS TRADING	WEEKEND HOLD	CONSISTENCY	DD TYPE
FTMO	5%	10%	Allowed	Allowed	Required	Trailing
MyFundedFX	5%	10%	Restricted	Allowed	Not Req.	Trailing
The Funded Trader	4%	8%	Allowed	Restricted	Required	Static
E8 Funding	4%	8%	Allowed	Allowed	Not Req.	Trailing
Apex Trader	3%	6%	Restricted	Restricted	Required	Trailing
TopStep	2%	5%	Restricted	Restricted	Required	Static
Funded Engineer	5%	10%	Allowed	Allowed	Not Req.	Static

DRAWDOWN TYPE EXPLAINED — THIS DISTINCTION COSTS TRADERS THEIR ACCOUNTS

TRAILING DRAWDOWN

Follows your equity UPWARD as you profit.
Example: Start \$100K. Profit to \$103K → new floor = \$93K. Profit another \$2K → floor rises to \$95K. Never goes back down.

■ Common trap: Traders think DD is safe, but a big win shrinks their buffer.

STATIC DRAWDOWN

Fixed from initial balance. Never moves.
Example: Start \$100K → floor is always \$90K regardless of how much you profit. Safer for traders — DD limit never shrinks.

✓ Easier to manage — one fixed number to track throughout the challenge.

UNIVERSAL POSITION SIZING FORMULA — NEVER OVER-RISK REGARDLESS OF FIRM

Account Balance (\$) × 1% Risk ÷ SL Distance (pts) ÷ Point Value (\$) = MAX LOT SIZE

NQ Futures (\$100K account, 20pt SL):
Forex EUR/USD (\$50K, 20 pip SL):

$100,000 \times 0.01 \div 20\text{pts} \div \$20/\text{pt}$
 $50,000 \times 0.01 \div 20\text{pips} \div \$10/\text{pip}$

$= 2.5 \text{ micros} \rightarrow \text{round DOWN to } 2$
 $= 2.5 \text{ mini lots} \rightarrow \text{round DOWN to } 2$

OPTIMAL TRADING WINDOWS — NQ / ES FUTURES (US EASTERN TIME)

PRE-MARKET 4:00–9:29 AM	NY OPEN 9:30–11:30 AM	LUNCH LULL 11:30–1:30 PM	NY AFTERNOON 1:30–3:45 PM	
LOW VOL — Thin liquidity, wide spreads. Avoid unless experienced scalper.	PRIME — Highest volume. Best setups. ORB strategies trigger.	CHOP — Avoid. False breakouts. Choppy range. Preserve your	GOOD — Institutional order flow returns. Trend continuation setups	STOP — Close

HIGH-IMPACT NEWS — STAY FLAT DURING THESE EVENTS

NFP	Non-Farm Payrolls	1st Fri/Month	PPI	Producer Price Index	Monthly
CPI	Consumer Price Index	Monthly	CLAIMS	Unemployment Claims	Weekly (Thu)
FOMC	Fed Rate Decision	8× per year	RETAIL	Retail Sales	Monthly
GDP	Gross Domestic Product	Quarterly	PMI	Purchasing Managers Idx	Monthly
PCE	Core PCE Price Index	Monthly	CPI-UK	UK Inflation Data	Monthly

SECTION 03 · CORE RULES

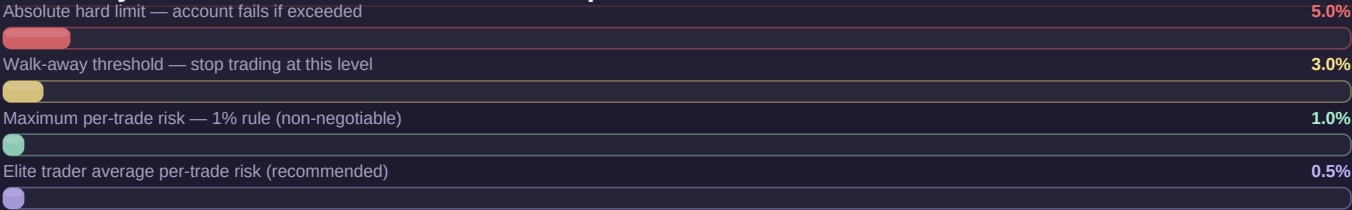
Core Rules & Drawdown Triggers

The 4 non-negotiable rules that stand between you and a permanently blown account — with real numbers and data.

01

MOST COMMON CHALLENGE KILLER

The Daily Drawdown Limit — The 5% Trap



- Never risk more than 1% per trade — use a calculator
 - If daily P&L hits -3%, close terminal immediately
 - Never attempt recovery same day — probability of digging dee
- Daily DD resets at midnight EST — confirm your firm's reset
 - Track P&L manually — platforms show unrealized losses late
 - Two -3% days in a row → reduce size 50% for next 3 sessions

DATA: FTMO Internal Data: 42% of all failed challenges cite daily DD breach as primary cause. Industry-wide average: 38%.

02

ACCOUNT TERMINATION ZONE

The Maximum Drawdown Wall — The 10% Cliff



- Max DD measured from highest equity watermark — not start ba
 - At -4% overall, reduce per-trade risk from 1% to 0.5% immedi
 - At -6% overall, reduce to 0.25% risk, max 2 trades/day
- At -8%, stop trading for 24 hours — full strategy review req
 - Trailing DD: a \$103K equity sets new floor at \$93K — know th
 - Contact your firm to confirm trailing vs. static DD — it's c

DATA: 31% of traders who profit still blow accounts because they don't understand trailing drawdown mechanics.

SECTION 03 (CONTINUED)

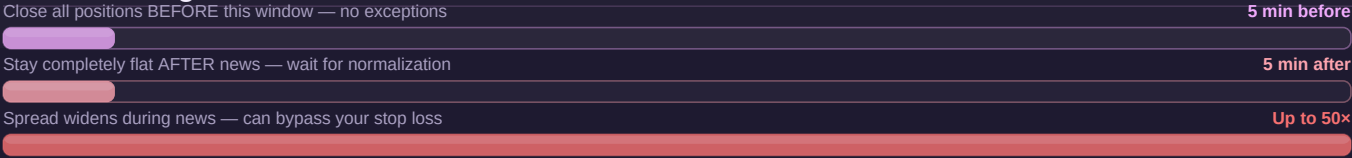
Rules 03 & 04 + Violation Matrix

News protocol, weekend holding rules, and the exact consequences for every violation.

03

RED FOLDER EVENTS

News Trading Restrictions — The Invisible Risk



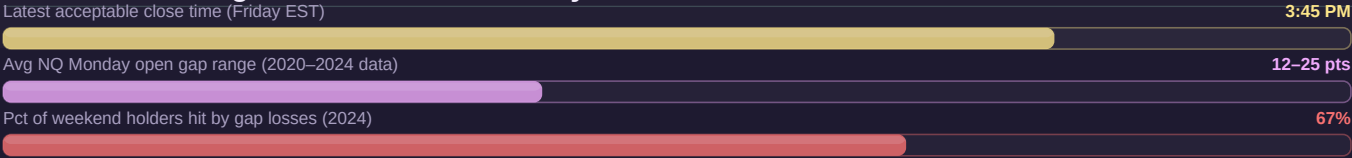
- Check Forex Factory / Trading Economics every morning
 - Close ALL positions 5 min before any Red Folder event
 - Do NOT re-enter until 5 full minutes after release
- Key events: CPI, NFP, FOMC, GDP, PCE, Unemployment
 - For NQ/ES: focus on USD events + Fed Chair speeches
 - FTMO & E8 allow news trading — verify YOUR firm first

DATA: Slippage during news can turn a 20-point stop into a 120-point loss. Spreads widen 10–50x instantly.

04

CLOSE OR BLOW

Weekend Holding Protocol — The Friday Rule



- Close ALL trades by Friday 3:45 PM EST — no exceptions
 - Weekend gaps bypass stop losses — gaps are instant losses
 - NQ especially vulnerable — reacts to Sunday geopolitical new
- 1 micro NQ contract × 25pt gap = \$50 loss with NO stop
 - Apex and TopStep have explicit no-weekend clauses in T&C
 - Political events, Fed comments happen weekends — markets rea

DATA: 2024: 67% of prop traders who held NQ over weekends reported Monday gap losses exceeding 15 points.

VIOLATION SEVERITY MATRIX — EXACT CONSEQUENCES FOR EVERY RULE BROKEN

VIOLATION	SPECIFIC TRIGGER	CONSEQUENCE	SEVERITY	RECOVER?
Daily DD exceeded	Loss > 5% in session	Challenge failed instantly	FATAL	0% — gone
Max DD breached	Equity < 90% watermark	Account terminated	FATAL	0% — gone
Banned news trade	Position during red news	Profits voided, possible ban	CRITICAL	<5% appeal
Weekend gap loss	SL bypassed Monday open	Partial/full equity loss	HIGH	N/A — locked
Oversize position	Risk > 1% rule violated	Warning → then failure	MEDIUM	80% correct
Time/instrument rule	Trade outside firm hours	Profits invalidated	MEDIUM	60% appeal

SECTION 04 · PRE-TRADE AUDIT

Pre-Trade Psychology Checklist

Complete all 6 checks BEFORE placing any order. Every item below is a documented cause of prop firm account failure.

SLPOSITION SIZING

Is my Stop Loss within my 1% risk budget?

Max Lots = (Balance × 0.01) ÷ (SL pts × Pt Value) — recalculate every session

✓ YES →

RED FLAG: Using the same lot size as yesterday without recalculating Account protected — proceed with trade

✗ NO →

Reduce lot size until risk ≤ 1%

!PSYCHOLOGY

Am I revenge trading from a previous loss?

Red flags: bigger lots, no valid setup, feeling 'owed' a win, elevated heart rate

✓ YES →

RED FLAG: Already planning your next trade before the losing trade Psychology clear — proceed with trade

✗ NO →

Close platform immediately. Stop trading.

NWNEWS RISK

Have I checked for news events in the next 2 hours?

Forex Factory (forexfactory.com) · Trading Economics · DailyFX calendar

✓ YES →

RED FLAG: Haven't opened an economic calendar in the last 60 minutes Calendar clear or flat plan event

✗ NO →

Open Forex Factory NOW — filter for high-impact events

LSLOT SIZING

Is my lot size calibrated to today's account equity?

Equity changes daily — after losses, same lots = higher percentage risk

✓ YES →

RED FLAG: Sizing matches current balance

✗ NO →

Recalculate using today's live equity

TPTRADE PLAN

Is my setup valid with a clear entry, SL, TP and reason?

One-sentence thesis: 'Price at X support, targeting Y, SL below Z, 1:2 R:R'

✓ YES →

RED FLAG: Entering because 'it looks like it's going up' with no strategy

✗ NO →

Setup documented — execute with discipline

✗ NO →

Write the trade thesis in one sentence

HRFIRM RULES

Am I within my firm's allowed hours and instruments?

Check your firm's dashboard and T&C — rules update without prior notice

✓ YES →

RED FLAG: Haven't re-read your firm's FAQ or trading rules in the past 30 days

✗ NO →

Fully compliant — trade within rules

✗ NO →

Stop immediately. Re-read firm rules.

REVENGE TRADE RESET PROTOCOL — FOLLOW THIS EXACTLY WHEN YOU FEEL THE URGE

STEP 1:

Close ALL open positions

STEP 2:

Close the trading platform

STEP 3:

30-min timer — no trading

STEP 4:

Journal the loss: size, entry, exit

STEP 5:

Check remaining daily loss limit

STEP 6:

Return ONLY if 3% daily profit

STEP 7:

Re-enter at 0.5% risk

STEP 8:

Urge to recover loss is gone

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